Competing with Airbnb

Grading %: Report Context, Analysis and Results (70%), and Report Presentation (30%)
Deadline: 21st of April 2026 at 2pm

Background

Airbnb, an American company, operates an online platform for short-term accommodations including holiday cottages, apartments, home-stays, hostel beds, and hotel rooms. The platform also enables users to book tourism experiences like walking tours and make restaurant reservations. As a brokerage service, Airbnb generates revenue through service fees on bookings.

The company exemplifies collaborative consumption and the sharing economy, with over 7 million active listings worldwide and more than 1.5 billion guest arrivals since its founding. In 2023, Airbnb's global listings generated $63.2 billion in gross booking value. For the full year 2023, Airbnb reported revenue of $9.9 billion, a 18% year-over-year increase. The global average daily rate (ADR) in 2023 was approximately $153 per night. As of October 2024, Airbnb's market capitalization was approximately $85 billion, reflecting significant growth since its IPO in December 2020.

Business Analytics Task: Airbnb Competitor Analysis

You are consulting for a property management company with a large rental portfolio in a major city of your choice. Develop an accommodation service to compete with Airbnb by targeting one specific demographic:

1. Low-income couples with infants
2. Middle-class retired couples
3. High-income single business travelers

Choose a large city with data available on the "Inside Airbnb" data repository. Determine if a market gap exists for your chosen demographic and how a new service could position itself against Airbnb in this city.

Analysis Requirements

- Use "Inside Airbnb" repository data, primarily "listings.csv.gz" (detailed) or "listings.csv" (summary)
- Analyse key listing features: price, room types, minimum stay, reviews, location, cancellation policies, review scores, and cleaning fees
- Include broader city research: demographics, tourism factors, social media trends
- Apply design thinking and empathy mapping to understand your target demographic's needs.
- This report must be prepared to the highest professional standards - a large corporate client is expecting exceptional quality documentation.

You may use any software, BI tool, or programming language for your analysis.

Submission Format and Guidelines

Submit two assignment components listed below:

Report Context, Analysis and Results (70% of grade)

Comprehensive report (limited to 2000 words, excluding executive summary, appendices, and references) as a PDF. This report should summarise your analytical journey and findings with a professional layout and engaging narrative about your chosen city. Include empathy map results to provide insights into your target demographic's needs and preferences.

1. **Title Page**: Report title, student number, unit code and date for clear identification.
2. **Table of content.**
3. **Executive Summary**: Concise overview of key findings, methodology, and recommendations. Distil the report's essence into a few sentences, providing value without requiring readers to read the full text.
4. **Introduction**: Brief yet thorough introduction to the city's tourism appeal, accommodation market, and relevant socio-demographic information pertinent to your target demographic.
5. **Empathy Maps**: Summary of the empathy mapping process and outcomes, highlighting the needs, experiences, and attitudes of your target demographic toward travel and accommodation.
6. **Analysis and Results**: Detail data sources and methodologies used, presenting findings with visual aids, graphs, and diagrams. Demonstrate how data from "Inside Airbnb" repository and other sources identified market gaps and opportunities.
7. **Conclusions**: Concise summary of key discoveries, acknowledgment of analysis limitations, and suggestions for future research.
8. **References**: List all sources cited or referenced, formatted according to Harvard Bath referencing style.
9. **Appendix**: Supplementary materials supporting your analysis, providing additional depth and context.

Report Presentation in PowerPoint (30% of grade)

Your report must demonstrate:

- Professional formatting with consistent headings, fonts, and spacing.
- Clear labelling of all figures, tables, and charts.
- Concise, error-free writing with proper citation of all sources.
- Strategic use of visual elements that enhance (rather than distract from) your narrative.
- Executive-ready presentation suitable for high-level decision-makers